

Marketing Management Concept

- Definition: The process of planning, organizing, directing, and controlling the activities related to marketing.
- Key aspects: Identifying consumer needs, satisfying them effectively, and achieving organizational objectives.

Functions of Marketing

1. Gathering and Analyzing Market Information:
 - Identifying consumer needs and wants.
 - Analyzing market opportunities and threats.
 - Understanding competitor strategies.
 - Using techniques like market surveys, sales forecasting, etc.
2. Marketing Planning:
 - Developing marketing objectives.
 - Formulating strategies and programs to achieve these objectives.
 - Creating detailed action plans for product, price, place, and promotion.
3. Product Designing and Development:
 - Making product attractive to target customers.
 - Considering features, quality, and design.
 - Involving decisions about product range, new product development, and product modifications.
4. Standardization and Grading:
 - Standardization: Ensuring consistency in quality, size, and features.
 - Grading: Classifying products into different groups based on quality, size, etc. (e.g., agricultural products).
 - Benefits: Ensures uniform quality, facilitates pricing, and builds customer confidence.
5. Packaging and Labelling:
 - Packaging: Designing and producing the container or wrapper for a product.
 - Labelling: Attaching a label to the package, providing information about the product.
 - Functions: Protection, identification, promotion, and convenience.
6. Branding:
 - Giving a name, term, sign, symbol, or design (or a combination) to identify goods or services and differentiate them from competitors.
 - Benefits: Helps in product differentiation, builds brand loyalty, and facilitates advertising.
7. Customer Support Services:
 - Providing services like after-sales service, handling complaints, credit facilities, maintenance services, technical support, and consumer information.
 - Aims to maximize customer satisfaction and build long-term relationships.
8. Pricing of Products:
 - Setting the price of a product or service.
 - Factors influencing price: cost, demand, competition, government regulations, and marketing objectives.
9. Promotion:
 - Communicating product information to target customers and persuading them to buy.
 - Includes advertising, personal selling, sales promotion, and public relations.
10. Physical Distribution:
 - Making products available to customers at the right place, at the right time.
 - Involves inventory management, warehousing, transportation, and order processing.
11. Transportation:
 - Physical movement of goods from the place of production to the place of consumption.
 - Choice of transport mode depends on cost, speed, safety, and nature of the product.
12. Storage and Warehousing:
 - Holding and preserving goods until they are needed by customers.
 - Helps to manage demand fluctuations and ensure continuous supply.

Marketing Mix

- Definition: The set of marketing tools that the firm uses to pursue its marketing objectives in the target market.

- 4 P's of Marketing: Product, Price, Place, Promotion.

1. Product

- Refers to the goods or services offered to the target market.
- Product Mix: All the products and items a particular seller offers for sale.
- Product Concept: Idea that consumers will favor products that offer the most quality, performance, and innovative features.
- Product Classification:
 - Consumer Products: Bought by final consumers for personal consumption (e.g., convenience, shopping, specialty, unsought goods).
 - Industrial Products: Bought by individuals and organizations for further processing or for use in conducting a business (e.g., materials and parts, capital items, supplies and services).
- Branding:
 - Brand: A name, term, sign, symbol, or design, or a combination of these, that identifies the products or services of one seller or group of sellers and differentiates them from those of competitors.
 - Brand Name: The part of a brand that can be spoken, including letters, words, and numbers.
 - Brand Mark: The part of a brand that cannot be spoken (e.g., symbol, design).
 - Trade Mark: A brand or part of a brand that is given legal protection.
 - Generic Name: The name of the entire category of the product (e.g., "aspirin").
- Packaging:
 - Primary Package: Immediate container of the product.
 - Secondary Package: Additional layers of protection removed before use.
 - Transportation Package: For storing or moving products.
- Labelling:
 - Informative Label: Provides detailed information.
 - Descriptive Label: Describes product use, instructions, etc.
- Services: Intangible, inseparable, variable, perishable.

2. Price

- The amount of money charged for a product or service.
- Pricing Objectives:
 - Profit maximization.
 - Market share leadership.
 - Survival.
 - Product quality leadership.
- Factors Determining Price:
 - Internal Factors: Marketing objectives, marketing mix strategy, costs, organizational considerations.
 - External Factors: Market and demand, competition, economic conditions, government.
- Pricing Methods:
 - Cost-Plus Pricing: Adding a standard markup to the cost of the product.
 - Break-Even Pricing: Setting price to break even on costs.
 - Value-Based Pricing: Based on buyers' perceptions of value rather than on the seller's cost.
 - Competitive Pricing: Setting prices based on competitors' strategies, prices, costs, and market offerings.

3. Place (Physical Distribution)

- Activities that make the product available to target consumers.
- Channels of Distribution:
 - Direct Channel: Manufacturer sells directly to consumers.
 - Indirect Channel: Involves intermediaries (wholesalers, retailers).
 - Types of Intermediaries:
 - Wholesalers: Sell to other intermediaries, industrial, institutional, and commercial users.
 - Retailers: Sell to final consumers.
 - Agents/Brokers: Facilitate sales without taking title to goods.
- Functions Performed by Distribution Channels:
 - Information: Gathering and distributing marketing research and intelligence.
 - Promotion: Developing and spreading persuasive communications.
 - Contact: Finding and communicating with prospective buyers.
 - Matching: Shaping and fitting the offer to the buyer's needs.
 - Negotiation: Reaching an agreement on price and other terms.
 - Physical Distribution: Transporting and storing goods.
 - Financing: Acquiring and using funds to cover the costs of channel work.
 - Risk Taking: Assuming the risks of carrying out channel work.

- Types of Channel Organizations:
 - Conventional Distribution System: Independent firms at different levels of the channel.
 - Vertical Marketing System (VMS): Channel members act as a unified system (corporate, contractual, administered).
 - Horizontal Marketing System: Two or more companies at one level join together to follow a new marketing opportunity.
 - Multi-Channel Distribution System: A single firm sets up two or more marketing channels to reach one or more customer segments.

4. Promotion

- Activities that communicate the merits of the product and persuade target customers to buy it.
- Promotional Mix (Communication Mix):
 - Advertising
 - Personal Selling
 - Sales Promotion
 - Public Relations

Advertising

- Definition: Any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor.
- Features: Paid form, impersonality, identified sponsor.
- Merits: Mass reach, enhancing customer satisfaction & confidence, expressiveness, economy (per person), enhancing goodwill.
- Limitations: Less forceful, lack of feedback, inflexibility, low effectiveness (if not properly designed).
- Objections to Advertising: Adds to cost, undermines social values, confuses buyers, encourages sale of inferior products, sometimes misleading.

Personal Selling

- Definition: Oral presentation in a conversation with one or more prospective purchasers for the purpose of making sales.
- Features: Personal interaction, two-way communication, relationship building.
- Merits: Flexibility, direct feedback, minimizes waste, establishes personal relationships.
- Limitations: High cost per contact, limited reach.

Sales Promotion

- Definition: Short-term incentives to encourage the purchase or sale of a product or service.
- Merits: Attention value, useful in new product launch, synergy with other promotional tools.
- Limitations: Reflects crisis, product image gets affected.
- Techniques: Rebates, discounts, refunds, product combinations, quantity gifts, instant draws & assigned gifts, samples, contests, playable contests, financing.

Public Relations

- Definition: Building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.
- Tools: Press relations, product publicity, corporate communication, lobbying, counseling.
- Merits: Credibility, economy, reach to uninterested prospects.
- Limitations: Lack of control over message.